ECONOMIC SURVEYS

BELGIUM-LUXEMBOURG ECONOMIC UNION

I. 2. b. 4.

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JULY 1965

ECONOMIC SURVEYS BY THE OECD

BELGIUM-LUXEMBOURG ECONOMIC-UNION

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

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- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in July 1965.

BASIC STATISTICS OF BELGIUM

THE LAND

Area (1,000 sq. km)	30,5
Agricultural area (1,000 sq.km) (1964)	16,1

Main urban areas 1964 (inhabitants) :

— Brussels	1.057.923
— Antwerp	654.508
— Liège	452.417

THE PEOPLE

Population (1964)	9.428.100
Number of inhabitants per sq. km (1964)	309
Population net natural increase	
— Yearly average (1963-64)	46.800
— Yearly rate per 1,000 inhabitants (1963-64)	4.99
Net migration (1964)	48.945
Total labour force (1963)	3.694.400
Wage and salary earners in agriculture (1963)	23.300
Wage and salary earners in manufacturing industries (1963)	1.111,700

PRODUCTION

Gross national product (1964) (billions of Belgian francs)	768,2
Gross national product per head (1964) (U.S. $)	1630
Gross fixed investment, 1964 :	
— Percentage of GNP	20,6
— Per head (U.S. $)	336

National expenditure (1964) (Billions of Belgian francs)

— Private consumption	512,4
— Public consumption	97,5
— Enterprises gross fixed asset formation	136,7
— Gov. do.	21,7
— Net exports	—0,1

THE GOVERNMENT

Current government expenditure on goods and services (1964). Percentage of G.N.P.	20,2
Current government revenues (1964) (% of G.N.P.)	20,5
Central Government debt, 31-12-1964 (Billions of Belgian francs)	428,8

Composition of the house of representatives :

— Christian-Social Party	36%
— Socialist Party	30%
— Liberal Party	23%
— Communist Party	3%
— Others	8%

Last election : 1965
Next election : 1969

LIVING STANDARDS

Calories per head, per day (B.L.E.U.) (1963-64)	3.075
Consumption of electricity per head, 1964 (kWh)	2.065
Number of private cars per 1,000 inhabitants (1964)	123
Number of telephones per 1,000 inhabitants (1963)	144
Number of T.V. sets per 1,000 inhabitants (1963)	129

FOREIGN TRADE

Exports :
Main exports in 1964 (% of total exports) (B.L.E.U.) :

— Base metals	29,5
— Textiles	15,2
— Machinery and Equipment	10,6
— Transport Equipment	7,9

Imports :
Main imports in 1964 (percentage of total imports) (B.L.E.U.) :

— Minerals	14,8
— Machinery et equipment	14,1
— Base metals	12,0
— Textile fibre	11,8

THE CURRENCY

Monetary units : Belgian francs

Currency unit per U.S. Doller : 50.

BASIC STATISTICS OF LUXEMBOURG

THE LAND

Area (sq.km)	2.586
Agricultural area (sq.km), 1964	1.353
Woodland, 1961 (sq.km)	857
Major city :	
Luxembourg (1964) inhab.	77.000

THE PEOPLE

Population (1964)	330.000
Number of inhabitants per sq.km (1963)	128
Population net natural increase (1958-64) :	
— Yearly average	1.300
— Per 1,000 inhabitants	4,0
Net immigration (average 1958-63)	2.641
Total labour force (1964)	134.700
Wage and salary workers in agriculture (1964)	893
Wage and salary workers in manufacturing industry (1963)	49.361

PRODUCTION

Gross national product, 1962 (millions of lux. francs)	25.796
Gross national product per head, 1962 (U.S. $)	1.592
Gross fixed investment (average 1955-62) :	
— Percentage of G.N.P.	23,7
— Per head (U.S. $)	346
Gross national product at factor cost by origin, 1962 :	
— Agriculture	7,5 %
— Mining and quarrying industries	2,5 %
— Manufacturing industries	40,0 %
— Construction	9,4 %
— Other	40,6 %

THE GOVERNMENT

Current government expenditure on goods and services 1962 (percentage of G.N.P.)	28
Currency government revenues, 1962 (percentage of G.N.P.)	34
Central Government debt. December 31st, 1964 (% of Central Gov. revenue)	118
Composition of the Chamber :	
— Christian-Social Party	39 %
— Workers-Socialist Party	38 %
— Democratic Party	11 %
— Communist Party	9 %
— Others	3 %
Last election : 1964	
Next election : 1969	

LIVING STANDARDS

Gross average hourly earnings, 1964 (lux. francs)	48,41
Number of private cars per 1,000 inhabitants (1964)	169
Number of telephones per 1,000 inhabitants (1964)	162
Number of T.V. sets per 1,000 inhabitants (1964)	74

THE CURRENCY

Monetary unit : Luxembourg francs.

Currency unit per U.S. dollar 50

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INTRODUCTION

The Belgian economy made faster progress in 1964 than in the preceding years. The GNP increased 5.5 per cent by volume, as against 3.9 per cent in 1963 and 4.3 per cent in 1962. This development is due to the pursuit of expansion in industrial production and to a steep rise in the output of vegetable products, which, contrary to the experience of 1963, was not handicapped by unfavourable weather conditions.

This vigorous economic expansion was accompanied by stronger inflationary tendencies. Manpower shortages gave rise to significant wage increases which outran productivity improvements. Increasing costs and the buoyancy of demand accelerated the upward movement of prices. These trends did not however upset the balance of foreign payments. Indeed, owing to the rapid growth in foreign demand (especially from EEC countries) the balance on current account showed a quite negligible deficit (B.Fr.: 0.1 billion) much below that recorded for 1963 (B.Fr.: 4.8 billions).

These trends necessitated some reinforcement in the course of the year of the stabilization measures taken in 1963. In particular the Central Bank raised its interest rates on the 3rd July and requested the Banking Commission to impose a liquidity reserve ratio. It also re-imposed stricter conditions on its own credit-granting activities. In addition further measures were taken to reorganise the structure of the budget. The growth in total public expenditure was kept below the growth in value of the GNP. The budget therefore exerted some deflationary influence on the general level of activity in the economy.

This restrictive policy accentuated the reversal of short-term trends already noticeable in mid-1964. The balance of payments on current account showed a net surplus during the fourth quarter. The capital and foreign exchange markets showed signs of easing. The markets for goods and services moved towards better balance, and this was reflected by a noticeable slowing down of price inflation. Private consumption has hardly increased at all since the end of 1964.

The restrictive measures taken in 1963 and 1964 will certainly continue to have repercussions in 1965, and a perceptible slowing down of the rate of economic growth may be expected. The increase by volume of the

gross national product should be 3.5 per cent, as against 5.5 per cent in 1964. A further slowing down in the rate of advance could make conditions on the labour market somewhat easier. It would then probably be necessary to introduce selective measures for re-stimulating the economy.

I. THE BELGIAN ECONOMY IN 1964

Production

In 1964 industrial production increased 7 per cent by volume (as against 7.5 per cent in 1963) as a result of the vigorous growth of demand at home and abroad. But whereas in the previous year this increase was due in the main to the growth of private consumption demand, it was basic industry which expanded strongly in 1964 as a result of the growing demand for intermediate products.

TABLE 1. INDUSTRIAL PRODUCTION BY MAJOR SECTORS

1958 = 100

	1961	1962	1963	1964
General index (excluding construction)	118.6	125.4	134.9	144.5
Mining and quarrying (general index)	85.1	86.3	88.4	91.7
Food and beverages	112.3	115.3	119.1	126.6
Textiles	124.7	130.2	140.4	141.9
Chemicals and rubber	130.5	144.5	151.0	165.9
Heavy metallurgical industries	121.8	126.8	131.7	148.4
Metallurgical products	129.0	136.5	153.2	160.9

Source: Institut national de statistique: Statistical bulletin.

TABLE 2. AGRICULTURAL PRODUCTION

INDEX OF VALUE AT CONSTANT PRICES

1953 = 100

	1962	1963	1964[1]
Agricultural crops	124.9	123.3	140.0
Horticulture	120.9	125.9	135.0
Animal products	130.6	125.2	120.0
General index	128.1	125.0	125.8

1. Estimates.

Source: Belgian submission.

Coal production remained substantially at the same level as in 1963, but milder weather led to lower consumption and pit-head stocks increased considerably. Production of steel, non-ferrous metals, chemicals and electricity also made rapid progress, whereas metal manufactures (representing 22 per cent of all industrial production) increased by only 5 per cent.

The industries catering for final consumption made less vigorous progress. Moderate advances were recorded in food and textiles, but the leather industry made no advance on the previous year's figures. Construction, on the other hand, made very rapid progress after the feeble advance of the previous year due to bad weather conditions (+ 19 per cent, as against + 6.8 per cent in 1963). In the services there was an estimated 4 per cent increase in output.

Agricultural output in 1964 was helped by very favourable weather conditions. Almost all crops did exceptionally well and the produce was of very good quality. Sales of animal products on the other hand continued the decline recorded in 1963, owing to the reconstitution of beef herds.

Employment

Economic expansion was accompanied by an increase in the size of the labour force and the continuation of transfers of workers from agriculture to industry and the services.

The natural growth of the active population was small. The advent of young people on the labour market was limited by the raising of the school-leaving age, while considerable numbers of workers reached retiring age. To cope with the growing scarcity of manpower, which in 1964 spread to all sectors of employment, the authorities made increased use of foreign labour (33,158 permits were granted to foreign workers in 1964 as against 26,397 in 1963). More women also were employed in industry.

The transfer of manpower from self-employed occupations to industry increased in 1964 (10,000 workers were affected). Further mechanisation made it possible to temper the effects of this trend.

The number of wholly unemployed declined again in 1964. The monthly average fell from 59,075 in 1963 to 50,362 in 1964, of whom about [9,000] could be considered as really employable. The number of partially unemployed fell from 50,205 in 1963 to 27,284 in 1964. The 1963 figure was abnormally high owing to the severe weather of the first quarter. It seems that the period of greatest pressure on the labour market was in the middle of the year, whereas a certain easing could be noticed from the third quarter onwards. The number of unemployed (normally fit for work) fell from 17,000 in the first quarter to 8,800 in June, only to rise again to 22,000 in December. It stood at 24,300 in January 1965.

Demand

Private consumption provided less of a stimulus to internal demand than in the previous year. It increased by 4.5 per cent by volume, as against 5 per cent in 1963. On the other hand private investment (including residential building) went ahead much faster than in the previous year (+ 12 per cent as against + 0.5 per cent in 1963). Public investment, which increased by 13 per cent by volume in 1963 and 11.5 per cent in 1962, rose even faster in 1964 (+ 15 per cent). This trend, which conforms with the recommendations of the first Programme for Economic Expansion, produced a perceptible increase of public investment's share in gross fixed asset formation (14.4 per cent at current prices in 1964, as against 13.8 in 1963 and 12.3 in 1962).

Prices and wages

The upward trend in prices recorded in 1963 after a long period of stability has worsened. Increases in price levels as shown in National Accounts were 4.5 per cent in 1964, as against 3.5 per cent in 1963, 2.3 per cent in 1962 and 1 per cent in 1961.

The annual average of the index of wholesale prices of industrial products was about 5 per cent higher than the year before, as against a 1.5 per cent increase in 1963 compared with 1962. In the agricultural products sector the increase from one year to the next was about 2.5 per cent, but a decline of about 0.5 per cent was recorded in the course of the year as a result of good harvests.

Consumer prices (cost of living index) rose in 1964 by 4.2 per cent compared with 1963 owing both to increased costs of production and distribution and the pressure of internal demand. From December 1963 to December 1964 the retail prices index rose by 3.4 per cent.

Wages increased faster in 1964. The annual increase in the total wage bill paid out by enterprises was 12 per cent, as against 8 per cent in 1963. This was mainly due to labour shortages which caused rapid advances in hourly earnings due to new wage agreements, the automatic gearing of wages to retail price index movements, and equal pay adjustments in certain industries like textiles. The increase in hourly earnings was 11.6 per cent (as against 8.4 per cent in 1963), the largest increases being recorded in textiles, wood-working and metal manufactures. Wages remained practically stable in mining and quarrying. Agreed wage rates[1] increased by 10 per cent over the whole year (as against 5.5 per cent in 1963). Allow-

1. See the OECD "Economic Survey of the BLEU", June 1964, paragraph 20, note 1.

ing for productivity increases of about 4 per cent (4.5 per cent in 1963) the effects of wage increases on costs must have been of the order of 7 per cent as against 4 per cent in the previous year.

TABLE 3. TREND OF EMPLOYMENT IN INDUSTRY

1958 = 100

NATURE OF INDUSTRY	OCTOBER 1963	OCTOBER 1964	PERCENTAGE CHANGE
Mining and quarrying	60.9	62.3	+ 2.3
Manufacturing industries	110.6	114.9	+ 3.9
Textiles	99.7	98.2	— 1.5
Clothing and other textile products	112.7	126.1	+ 11.9
Woodworking and cork, including furniture and furnishing	108.2	116.2	+ 7.4
Paper and paper products	114.3	116.9	+ 2.3
Printing, publishing and allied industries	108.6	110.1	+ 1.4
Leather and leather products, excluding footwear	100.9	99.3	— 1.6
Rubber	98.4	102.2	+ 3.9
Chemicals and chemical products	110.6	110.5	— 0.09
By-products of petroleum and coal	96	90	— 6.3
Heavy metallurgical industry	108.1	111.3	+ 3
Metallurgical products, excluding machinery and transport equipment	122.5	124	+ 1.2
Construction of machinery, excluding electrical machinery	134.2	137.4	+ 2.4
Construction of electrical machinery, apparatus and supplies	118.3	129	+ 9
Transport equipment	104.1	111.2	+ 6.8
Miscellaneous manufacturing	107.6	104.4	— 3
Construction	119.2	120.6	+ 1.2
Electricity, gas, water and sanitary services	103.7	105.7	+ 1.9
GENERAL INDEX	108.2	112	+ 3.5

Source: Belgian submission.

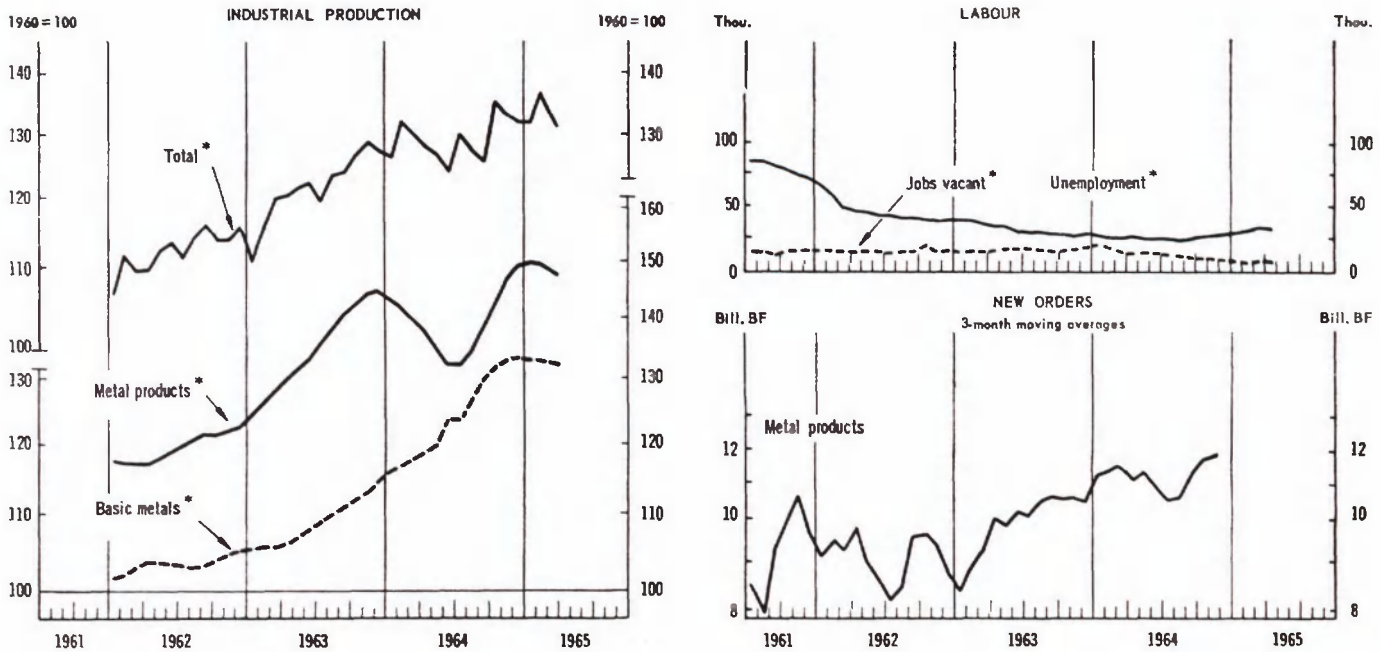
Foreign trade of the BLEU

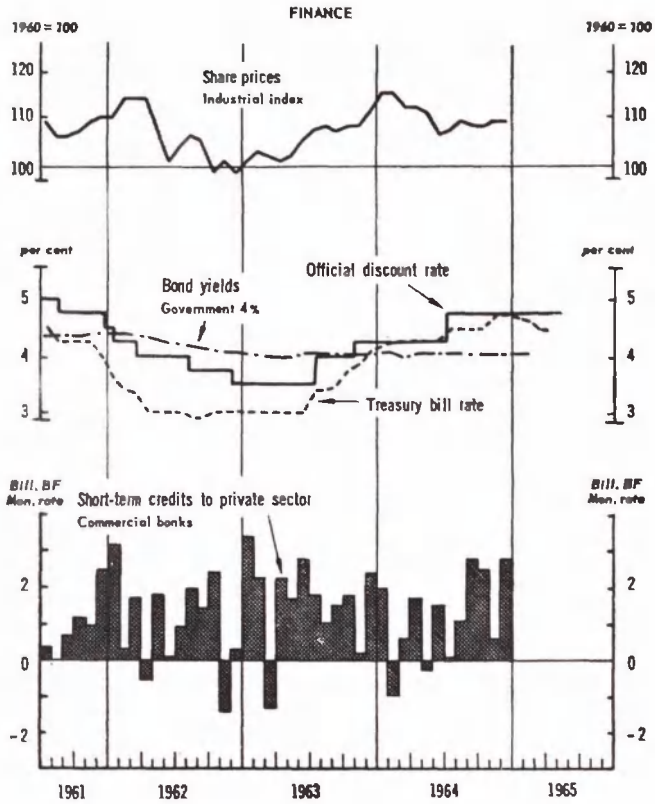
Under the influence of world boom conditions the BLEU foreign trade made good progress in 1964. Exports increased 15.3 per cent by value as against 11.5 per cent in the previous year. But owing to the pressure of domestic demand and the growth of exports (Belgium being essentially a manufacturing economy), imports also increased steeply (+ 15.9 per cent by value, as against + 12.2 per cent the previous year). Overall, the trade deficit widened to B.Fr. 16.6 billions, as against 13.6 billions in 1963[1].

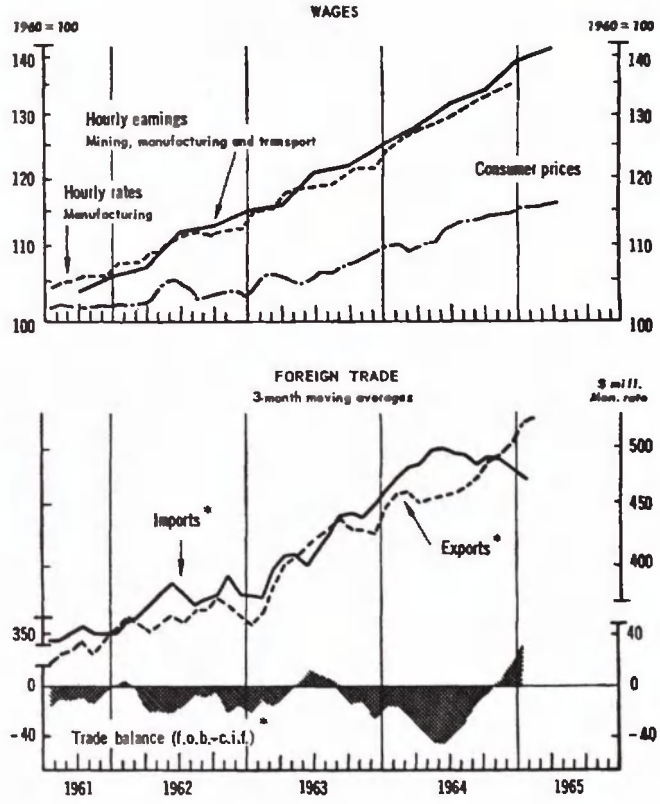
1. Customs figures.

BELGIUM

Diagram 1. MAIN ECONOMIC INDICATORS







* Seasonally adjusted

Source : OECD

Table 4. USES AND RESOURCES OF GOODS AND SERVICES IN 1963, 1964 AND 1965

	1963	1964		1965[1]	
	VALUE IN BILLIONS OF CURRENT B.FR.	PERCENTAGE CHANGES IN VOLUME	VALUE IN BILLIONS OF CURRENT B.FR.	PERCENTAGE CHANGES IN VOLUME	VALUE IN BILLIONS OF CURRENT B.FR.
A. Resources :					
Gross national product at market prices	694.8	+ 5.5	767.0	+ 3.5	820
Imports	259.6	+ 11.5	298.0	+ 6 (+ 10)[2]	321.5
Grand Total	954.4		1,065.0		1,141.5
B. Uses:					
Private consumption	474.0	+ 4.5	511.0	+ 4	546.5
Public consumption	87.0	+ 4	95.5	+ 2	101.0
Gross investment by enterprise	118.9	+ 12	140.0	+ 3	147.5
of which:					
productive investment	—	+ 19	—	+ 3	—
construction of buildings for industrial use	—	+ 5	—	+ 3	—
residential construction	—	+ 19	—	+ 3	—
Public investment	18.8	+ 15	22.5	+ 1	23.5
Exports	255.7	+ 12	296.0	+ 7 (+ 10)[2]	323.0
	954.4		1,065.0		1,141.5

1. Forecasts made in March 1965.
2. Figures in brackets indicate later forecasts (June 1965).

Source: Ministry of Economic Affairs and Energy.

Table 5. TRENDS IN WAGE RATES IN 1964

1958 = 100

	1963	1964			
	DEC.	MARCH	JUNE	SEPT.	DEC.
1. Agriculture	131.7	134.7	134.8	138.0	138.1
2. Mining and quarrying	108.3	110.6	113.7	116.2	118.3
3. Manufacturing	127.7	132.8	135.5	138.8	141.5
4. Construction	125.4	126.8	136.1	136.2	139.2
5. Electricity, gas, water	122.0	130.1	130.1	132.3	132.3
6. Commerce, banking insurance	127.1	140.3	143.1	146.5	147.7
7. Transport, communications	117.5	119.8	125.5	132.1	132.5
8. Services	128.8	131.2	135.4	137.2	148.2
Total (general index)	125.0	129.1	132.9	135.7	138.6

Source: Belgian submission.

The breakdown of exports by products (Table 6) shows that most sectors (apart from textiles and chemicals) shared in the expansion of sales. The breakdown by area (Table 7) shows that the concentration in the EEC countries of exports to industrial countries continues owing to increased sales to Germany. There has also been a clear reversal of the tendency towards declining sales to developing countries (a rapid growth of exports to the Congo, and Latin American countries).

The breakdown of imports by products[1] indicates a noticeable increase in the share of consumer goods in the total (20.4 per cent, as against 18.6 per cent on average from 1960 to 1963). The share of capital goods has also grown, whereas that of intermediate products has definitely declined (Table 8). The breakdown by area (Table 9) shows that there were no significant changes in the origin of imports in 1964. Nevertheless the EEC has once again slightly improved its position, supplying 53 per cent of BLEU imports as against 52.5 per cent the previous year.

TABLE 6. BLEU EXPORTS BY PRODUCTS

	1963		1964		PERCENTAGE CHANGE 1964/63
	BILLIONS OF B.FR.	PER CENT	BILLIONS OF B.FR.	PER CENT	
1. Animal products	5,287	2.2	4,533	1.6	— 14.3
2. Vegetable products	6,234	2.5	6,476	2.3	+ 3.9
3. Fats and oils	740	0.3	882	0.3	+ 19.2
4. Food, drink, tobacco	5,826	2.4	6,881	2.5	+ 18.1
5. Mineral products	13,814	5.7	14,454	5.2	+ 4.6
6. Chemical and allied products	16,237	6.7	17,761	6.4	+ 9.4
7. Plastics, rubber	3,702	1.5	4,562	1.7	+ 23.2
8. Hides and skins	1,910	0.8	2,159	0.7	+ 12.0
9. Wood, cork, basketware	2,032	0.9	2,293	0.8	+ 12.8
10. Paper	4,779	2.0	5,539	2.0	+ 15.8
11. Textiles	38,638	16.0	42,522	15.2	+ 10.1
12. Footwear	991	0.4	1,147	0.4	+ 15.9
13. Articles of stone, etc.	8,270	3.4	9,513	3.4	+ 15.0
14. Pearls, precious metals	12,308	5.1	14,807	5.3	+ 20.3
15. Metals and metal products	70,228	29.0	82,386	29.5	+ 17.3
16. Machines and mechanical appliances	23,709	9.8	29,722	10.6	+ 25.4
17. Transport equipment	17,920	7.4	21,948	7.9	+ 22.5
18. Optical and precision instruments	1,565	0.6	2,111	0.8	+ 34.9
19. Arms and ammunition	3,323	1.4	647	0.2	— 79.0
20. Furniture, brushware, toys	1,899	0.8	2,566	0.9	+ 35.1
21. Works of art, collectors pieces, etc.	121	0.1	199	0.1	+ 64.5
22. Miscellaneous	2,426	1.0	6,350	2.2	+ 161.7
Total	241,959	100.0	279,489	100.0	+ 15.5

Source: Belgian submission.

1. Up to September 1964.

Table 7. EXPORTS BY AREA

	1963				1964			
	BILLIONS OF B.FR.	PERCENTAGE CHANGE 1963/62	PERCENTAGE OF REGIONAL TRADE	PERCENTAGE OF TOTAL TRADE	BILLIONS OF B.FR.	PERCENTAGE CHANGE 1964/63	PERCENTAGE OF REGIONAL TRADE	PERCENTAGE OF TOTAL TRADE
EEC	147.1	+ 19.7	76.7	60.8	174.9	+ 18.9	78.9	62.6
EFTA	33.8	+ 8.9	17.6	14.0	35.2	+ 4.4	15.9	12.6
Eastern Countries	3.7	— 15.2	1.9	1.5	3.9	+ 5.1	1.7	1.4
Other European countries	7.3	+ 5.6	3.8	3.0	7.7	+ 5.9	3.5	2.8
Total for Europe	191.8	+ 16.2	100.0	79.3	221.7	+ 15.6	100.0	79.3
Africa	7.7	— 10.8	100.0	3.2	9.5	+ 23.7	100.0	3.4
of which: Congo (Leopoldville)	2.2	— 1.5	29.0	0.9	3.1	+ 41.8	33.3	1.1
United States	20.6	— 0.7	72.6	8.5	22.5	+ 9.5	69.2	8.1
Canada	2.2	+ 0.8	7.7	0.9	2.7	+ 23.5	8.3	1.0
Latin America	5.5	— 19.9	19.7	2.3	7.3	+ 31.0	22.5	2.6
Total for America	28.3	— 5.1	100.0	11.7	32.5	+ 14.8	100.0	11.6
Asia	11.4	+ 12.3	100.0	4.7	12.4	+ 8.8	100.0	4.4
Oceania	1.2	+ 2.4	100.0	0.5	1.5	+ 22.5	100.0	0.5
Total	242.0	+ 11.9	—	100.0	279.5	+ 15.5	—	100.0

Source: Belgian submission.

Table 8. BLEU IMPORTS BY PRODUCTS

	1963		1964		PERCENTAGE CHANGE 1964/63
	MILLIONS OF B.FR.	PERCENTAGE	MILLIONS OF B.FR.	PERCENTAGE	
1. Animal products	4,969	2.0	7,718	2.6	+ 55.3
2. Vegetable products	16,755	6.5	18,271	6.2	+ 9.0
3. Fats and oils	1,575	0.6	1,921	0.6	+ 22.0
4. Food, drink, tobacco	11,679	4.6	13,186	4.5	+ 12.9
5. Mineral products	39,661	15.5	43,718	14.8	+ 10.2
6. Chemical and allied products	13,253	5.2	15,267	5.2	+ 15.2
7. Plastics, rubber	6,807	2.7	8,129	2.7	+ 19.4
8. Hides and skins	2,974	1.2	3,230	1.1	+ 8.6
9. Wood, cork, basketware	4,569	1.8	5,739	1.9	+ 25.6
10. Paper	8,061	3.1	9,185	3.1	+ 13.9
11. Textiles	30,229	11.8	35,083	11.8	+ 16.9
12. Footwear	1,504	0.6	1,841	0.6	+ 22.4
13. Articles of stone, etc.	2,823	1.1	3,567	1.2	+ 26.4
14. Pearls, precious metals	12,006	4.7	14,379	4.8	+ 19.8
15. Metals and metal products	29,107	11.4	35,407	12.0	+ 21.6
16. Machines and mechanical appliances	35,456	13.8	41,901	14.1	+ 18.2
17. Transport equipment	25,091	9.8	27,167	9.2	+ 8.3
18. Optical and precision instruments	5,166	2.0	5,774	2.0	+ 11.8
19. Arms and ammunition	1,027	0.4	197	0.1	+ 80.8
20. Furniture, brushware, toys	2,501	1.0	3,071	1.0	+ 22.8
21. Works of art, collectors' pieces, etc.	167	0.1	180	0.1	+ 7.8
22. Miscellaneous	223	0.1	1,193	0.4	+ 435
Total	255,603	100.0	296,123	100.0	+ 15.9

Source: Belgian submission.

TABLE 9. IMPORTS BY AREA

	1963				1964			
	BILLIONS OF B.FR.	PERCENTAGE CHANGE 1963/62	PERCENTAGE OF REGIONAL TRADE	PERCENTAGE OF TOTAL TRADE	BILLIONS OF B.FR.	PERCENTAGE CHANGE 1964/63	PERCENTAGE OF REGIONAL TRADE	PERCENTAGE OF TOTAL TRADE
EEC	134.2	+ 15.5	74.5	52.5	157.7	+ 17.5	75.6	53.3
EFTA	35.6	+ 12.4	19.8	13.9	38.8	+ 9.1	18.6	13.1
Eastern Countries	5.7	+ 11.7	3.2	2.2	5.9	+ 3.2	2.8	2.0
Other European countries	4.6	+ 2.8	2.5	1.8	6.1	+ 33.3	2.9	2.0
Total for Europe	180.1	+ 14.4	100.0	70.5	208.6	+ 15.8	100.0	70.4
Africa	17.8	—	100.0	7.0	21.5	+ 20.7	100.0	7.3
of which: Congo (Leopoldville)	8.3	— 7.7	46.4	3.2	10.0	+ 21.1	46.5	3.4
United States	23.6	+ 4.6	63.2	9.2	26.2	+ 11.2	63.1	8.9
Canada	2.7	+ 4.6	7.2	1.1	3.8	+ 41.1	9.2	1.3
Latin America	11.1	+ 9.0	29.6	4.3	11.5	+ 4.3	27.7	3.9
Total for America	37.4	+ 5.9	100.0	14.6	41.6	+ 11.3	100.0	14.0
Asia	16.0	+ 26.4	100.0	6.3	18.5	+ 15.8	100.0	6.2
Oceania	4.2	— 6.4	100.0	1.6	5.7	+ 38.7	100.0	1.9
Total	255.6	+ 12.2	—	100.0	296.1	+ 15.9	—	100.0

Source : Belgian submission.

The Balance of Payments

In 1964 the current account deficit narrowed sharply to only B.Fr. 0.1 billion as compared with 5.0 billions in 1963. This significant improvement was the result of favourable trends in its two components, transactions in goods and services and transfers. In spite of a large credit balance in the fourth quarter, imports and exports of merchandise showed no improvement over the year as a whole (a deficit of B.Fr. 8.7 billions as against one of 8.6 billions in 1963). In contrast the credit balance on other merchandise transactions — arbitrage operations and processing — rose from 5.7 billions in 1963 to 10.6 billions in 1964. The deficit on services transactions widened owing to increased current expenditure abroad by the Government.

The increase in net receipts from private transfers (2.5 billions in 1963, 3.0 billions in 1964) is partially attributable to the repatriation of incomes of Belgians working on technical assistance in the Congo. Net expenditure on Government transfers fell from 3.1 billions in 1963 to 2.4 billions in 1964. They had been swollen the previous year by the payment in January of the contribution for 1962 to the EEC European Development Fund. No such contribution was made in 1964.

Overall, net inflows of capital of government and other public authorities fell from 2.1 billions in 1963 to 1.2 billions in 1964. This decrease reflects a considerable reduction in net receipts in the form of government capital movements, which more than offsets the noticeable increase in borrowings abroad by the other public authorities, particularly the city of Antwerp. The increase in net capital inflow which benefited the public development authorities and non-monetary financial intermediaries of the public sector (2.3 billions in 1964 as against 0.6 billions in 1963) is mainly the result of loans issued by the Société Nationale de Crédit à l'Industrie and the Régie des Télégraphes et Téléphones.

Capital transactions by individuals and enterprises in the private sector resulted in a net inflow of 6.2 billions in 1964, as against 1.0 billion in 1963. This influx of capital is the combined result of a decrease in outflows under securities transactions due to higher interest rates in Belgium and fiscal measures under consideration in certain countries, and an increase in inflows under direct investment and other capital transactions in the private sector.

Overall, current transactions and international capital movements (including errors and omissions) resulted in a surplus of 10.4 billions in 1964, as against a deficit of 0.1 billion in 1963.

Monetary and Financial Problems

In 1964 the supply of liquid and near-liquid funds increased less than in 1963. The cash requirements of the public authorities were not so great and credit granted to enterprises and private individuals increased more slowly. On the capital market conditions steadily improved. Under the influence of progressive increases in interest rates and milder reactions to the tax reform, investment in bonds and cash certificates expanded considerably.

The increase in credit to enterprises and private individuals fell from B.Fr. 17.3 billions in 1963 to 11.6 billions in 1964. Short-term developments no doubt stimulated the demand for funds by enterprises and private individuals, but the official restrictions on credit kept the increase within bounds[1]. Contrary to what happened in 1963, the Government did not rely much on the money market to finance its cash requirements. Firstly, the cash deficit was considerably smaller, the worsening of the shortfall in the extraordinary budget being more than offset by the improvement in the surplus of the ordinary budget. And secondly it was possible to cover the cash deficit by increased use of non-monetary resources. On the other hand, the balance-of-payments result was transformed from a deficit of B.Fr. 1.4 billions in 1963 to a surplus of 6.9 billions in 1964.

1. With regard to these restrictions, cf. the OECD Economic Survey of the BLEU, June 1964, paragraph 31.

The quantity of money increased at a noticeably slower rate, owing mainly to the restrictive policy of the monetary authorities. The increase in money in circulation was 19.7 billions, as against 25.4 in 1963 and 17.1 in 1962. Finally, it should be noted that the public's increased preference in 1963 for very liquid forms of investment at the expense of loans issued in connection with the national debt, did not continue into 1964. Fund providers began once again to subscribe on a large scale to loans to the public sector.

The increase in interest rates which began in 1963 continued during the first three quarters of the year, but from September onwards the process slowed down, owing to the slackening ofe conomic activity. Accordingly in the fourth quarter and the beginning of 1965 some interest rates declined (in particular day-to-day money). The discount rate was raised again in July 1964 (from 4.25 to 4.75 per cent) in order to restrain the expansion of credit which would otherwise have put additional pressure on demand.

Public Finances

The main features of public finances in 1964 were as follows:

— for the first time since 1957, ordinary budget operations resulted in a surplus (+ B.Fr. 2.5 billions, compared with — 3.5 billions in 1963);

— the rate of growth of ordinary expenditure was smaller than that of the GNP (8.6 per cent as against 10 per cent);

— the overall total of Treasury disbursements was 5.2 per cent higher than in 1963, which means that the EEC Council of Ministers' recommendation of 14th April, 1964, was strictly observed;

— the rate of growth of receipts was higher than that of the GNP (+ 13.1 per cent as against + 10 per cent). This rise is mainly due to increased revenue from taxation (connected with the high level of economic activity), which amounted to 19.53 per cent of the GNP as against 18.85 per cent in 1963;

— public investment expenditure increased at a faster rate (+ 15 per cent in 1964 as against + 13 per cent in the previous year);

— finally, the overall total of expenditure financed by borrowing declined, and the composition of the national debt improved. The consolidated part of the debt increased, the floating debt diminished; indebtedness in foreign currency was halted. Overall the national debt increased by B.Fr. 16.2 billions (of which 1.7 billions in foreign exchange), as against 23.1 billions in 1963 (of which 9.4 billions in foreign exchange).

Table 10. THE BLEU BALANCE OF PAYMENTS

Quarterly figures, Billions of B. Fr.

	1963					1964 (p)				
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	YEAR	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	YEAR
1. *Goods and services:*										
1.1. Merchandise:										
1.11. Exports	45.8	50.3	50.3	54.7	201.1	54.6	56.8	55.0	64.1	230.5
1.12. Imports[1]	47.3	51.5	52.8	58.1	209.7	58.0	60.7	58.0	62.5	239.2
Balance	− 1.5	− 1.2	− 2.5	− 3.4	− 8.6	− 3.4	− 3.9	− 3.0	+ 1.6	− 8.7
1.13. Other merchandise transactions[2]	+ 1.2	+ 1.4	+ 1.5	+ 1.6	+ 5.7	+ 2.3	+ 2.7	+ 2.5	+ 3.1	+ 10.6
1.2. Non-monetary gold	...	− 0.1	− 0.2	− 0.4	− 0.7	− 0.4	− 0.1	− 0.1	− 0.2	− 0.8
1.3. Freight and insurance for transport or merchandise[3]	...	...	− 0.2	− 0.1	− 0.3	+ 0.1	− 0.2	− 0.2	− 0.1	− 0.4
1.4. Investment income	− 0.2	− 0.7	− 0.1	...	− 1.0	− 0.2	− 1.0	+ 1.0	+ 0.2	− 0.9
1.5. Government transactions not included elsewhere	− 0.1	− 0.4	− 0.2	− 0.3	− 1.0	− 0.8	− 0.3	− 0.8	− 0.4	− 2.3
1.6. Other	+ 1.2	+ 0.6	− 0.5	+ 0.4	+ 1.7	+ 0.5	+ 0.6	− 0.7	+ 1.4	+ 1.8
Total 1	+ 0.6	− 0.4	− 2.2	− 2.2	− 4.2	− 1.9	− 2.2	− 2.2	+ 5.6	− 0.7
2. *Transfers:*										
2.1. Private transfers	+ 0.6	+ 0.8	+ 0.5	+ 0.6	+ 2.5	+ 0.5	+ 0.8	+ 0.8	+ 0.9	+ 3.0
2.2. Official transfers	− 1.1	− 0.4	− 0.5	− 1.1	− 3.1	− 0.4	− 0.9	− 0.5	− 0.6	− 2.4
Total 2	− 0.5	+ 0.4	...	− 0.5	− 0.6	+ 0.1	− 0.1	+ 0.3	+ 0.3	+ 0.6
3. *Net capital movement by public authorities:*										
3.1. General government	+ 1.8	+ 1.3	− 0.9	+ 0.2	+ 2.4	+ 0.3	+ 0.5	− 1.4	+ 1.0	+ 0.4
3.2. Other public authorities[4]	...	...	...	+ 0.1	+ 0.1	+ 1.9	− 1.0	+ 0.3	− 0.1	+ 1.1
Total 3	+ 1.8	+ 1.3	− 0.9	+ 0.3	+ 2.5	+ 2.2	− 0.5	− 1.1	+ 0.9	+ 1.5
4. *Net capital movement by enterprises and individuals:*										
4.1. Public development institutions and non-monetary financial intermediaries of the public sector[4]	+ 0.4	+ 0.1	+ 0.1	...	+ 0.6	+ 2.3	+ 0.3	− 0.4	+ 0.1	+ 2.3

4.2. Private sector										
4.21. Identified transactions in securities:										
a) Belgian securities	+ 0.2	+ 0.2	+ 0.2	+ 0.2	+ 0.8	− 0.3	+ 0.1	+ 0.3	...	+ 0.1
b) Foreign securities	− 1.8	− 0.9	− 1.3	− 1.1	− 5.1	− 1.5	+ 0.2	+ 0.3	...	− 1.0
4.22. Other (including direct investment)	+ 1.6	+ 0.8	+ 2.2	+ 0.7	+ 5.3	− 0.2	+ 2.0	+ 3.6	+ 1.7	+ 7.1
Total 4	+ 0.4	+ 0.2	+ 1.2	− 0.2	+ 1.6	+ 0.3	+ 2.6	+ 3.8	+ 1.8	+ 8.5
5. *Errors and Omissions:*	+ 1.4	...	− 1.0	+ 0.2	+ 0.6	0.7	+ 0.1	+ 0.1	+ 0.4	+ 0.5
Total 1 to 5	+ 3.7	+ 1.5	− 2.9	− 2.4	− 0.1	+ 1.4	− 0.1	+ 0.9	+ 8.2	+ 10.4
6. *Refinancing other than by monetary institutions of commercial credit with abroad (increase: —)*[5]	− 1.3	...	+ 0.5	+ 0.3	− 0.5	− 1.3	+ 0.7	+ 1.3	− 0.3	+ 0.4
7. *Total (1 to 6) corresponding to the movement of the net extreme assets of monetary institutions*	+ 2.4	+ 1.5	− 2.4	− 2.1	− 0.6	+ 0.1	+ 0.6	+ 2.2	+ 7.9	+ 10.8
National Bank	+ 4.4	+ 3.2	+ 1.0	+ 2.6	+ 11.2	− 0.4	+ 1.4	+ 2.0	+ 9.6	+ 12.6
Others	− 2.0	− 1.7	− 3.4	− 4.7	− 11.8	+ 0.5	− 0.8	+ 0.2	− 1.7	− 1.8

1. Figures for part of imports are c.i.f., i.e. include freight and insurances for the transport of those imports.
2. Mainly processing.
3. This item under expenditure only part of freight and insurance for the transport of imports. The other part could not be isolated from the imports to which it relates and therefore inclued in item 1.12 " Imports " (cf. note 1).
4. These two items 3.2 and 4.1 were shown together in previous quaterly balances under the heading " Other public authorities and semi-public credit and development authorities ".
5. The figures under this heading are practically the same as those previously shown under " registered short-term ".

(p) Provisional figures.

Table 11. CHANGES IN THE MONEY

PERIODS	MONEY SUPPLY[1]			QUASI-LIQUID RESOURCES[2]	TOTAL MONEY SUPPLY AND QUASI-LIQUID RESOURCES
	NOTES AND COIN	BANK MONEY	TOTAL		
1959	+ 1.0	+ 5.8	+ 6.8	+ 5.8	+ 12.6
1960	+ 5.5	— 1.1[6]	+ 4.4[6]	+ 6.1	+ 10.5
1961	+ 5.4	+ 11.3[6]	+ 16.7[6]	+ 9.1	+ 25.8
1962	+ 9.5	+ 7.6	+ 17.1	+ 4.3	+ 21.4
1963	+ 12.0	+ 13.4	+ 25.4	+ 8.2	+ 33.6
1964	+ 10.1	+ 9.6 (p)	+ 19.7 (p)	+ 6.1 (p)	+ 25.8
1963 1st quarter	+ 2.0	+ 6.1	+ 8.1	+ 2.2	+ 10.3
2nd quarter	+ 5.9	+ 4.8	+ 10.7	+ 1.4	+ 12.1
3rd quarter	+ 0.5	— 5.0	— 4.5	+ 1.9	— 2.6
4th quarter	+ 3.6	+ 7.5	+ 11.1	+ 2.7	+ 13.8
1964 1st quarter	— 2.3	— 2.4	— 4.7	+ 4.3	— 0.4
2nd quarter	+ 5.7	+ 7.1	+ 12.8	— 2.0	+ 10.8
3rd quarter	+ 1.3	— 3.2	— 1.9	+ 2.7	+ 0.8
4th quarter	+ 5.4	+ 8.1 (p)	+ 13.5 (p)	+ 1.1	+ 14.6

1. After deducting notes and coins held by the monetary institutions (the National Bank, commercial banks and various credit institutions).
2. Quasi-liquid resources include: term deposits with banks, residents' deposits in foreign currencies at banks, and credit balances of the Treasury at the National Bank of Belgium.
3. Including the current balance and capital transactions of enterprises and private individuals.
4. Changes in drawings on discount, advances and acceptances credits (excluding acceptances relating to exports)originally granted by monetary institutions.
5. Including the balance of their capital transactions abroad.
6. These totals have been adjusted for the accounting changes made necessary by the independence of the Congo.
p Provisional data.

Source: National Bank of Belgium.

SUPPLY AND BANK CREDIT

Billions of B. Fr.

ORIGIN OF CHANGES						
FOREIGN TRANSACTIONS[3]	CREDIT TO ENTERPRISES AND PRIVATE INDIVIDUALS[4]	REFINANCING OTHER THAN BY MONETARY INSTITUTIONS (INCREASE = −)		FINANCING OF THE PUBLIC AUTHORITIES	NEW MONEY RESULTING FROM PUBLIC DEBT OPERATIONS	MISCELLANEOUS
		OF COMMERCIAL CREDIT WITH ABROAD	OF CREDIT TO ENTERPRISES AND PRIVATE INDIVIDUALS			
−0.1	+ 3.1	+ 0.2	+ 1.3	+ 4.4	+ 3.2	+ 0.5
−1.3	+ 5.9	+ 0.3	−1.0	+ 8.6	+ 2.1	−4.1
+ 8.3	+ 9.9	−1.1	−1.7	+ 5.1	+ 1.9	+ 3.4
+ 5.3	+ 11.5	−0.2	+ 0.1	+ 2.4	+ 1.2	+ 1.1
−1.0	+ 17.3	−0.5	+ 1.0	+ 23.4	−1.7	−4.9
+ 7.1 (p)	+ 11.3 (p)	+ 0.2	−2.1	+ 13.2 (p)	−2.3 (p)	−1.6 (p)
+ 3.3	+ 1.9	−1.3	−0.3	+ 10.2	...	−3.5
+ 0.1	+ 3.9	...	+ 0.3	+ 6.4	+ 0.5	+ 0.9
−1.9	+ 3.2	+ 0.5	+ 0.1	− 1.5	−1.2	−1.8
−2.5	+ 8.3	+ 0.3	+ 0.9	+ 8.3	−1.0	−0.5
−1.5	+ 4.1	−1.3	−4.7	+ 2.9	−0.1	+ 0.2
+ 0.2	+ 3.5	+ 0.7	+ 0.9	+ 6.3	−0.7	−0.1
+ 1.7 (p)	+ 1.3	+ 1.3	+ 0.7	− 0.8 (p)	−1.5 (p)	−1.9 (p)
+ 6.7 (p)	+ 2.4	−0.5	+ 1.0	+ 4.8		+ 0.2 (p)

Table 12. DISCOUNT RATE, INTEREST RATES AND YIELDS

Percentage.

END OF MONTH	OFFICIAL DISCOUNT RATE (ACCEPTED DRAFT LODGED AT BANK)	DAY-TO-DAY MONEY[1]	INSTITUTE OF REDISCOUNT AND GUARANTEE-BANKERS' ACCEPTANCES CERTIFIED AS RELATING TO EXPORTS (120 DAYS AND UNDER)	TIME DEPOSITS (THREE MONTHS) AT BANKS, IN BELGIAN FRANCS	PUBLIC BONDS			
					3-MONTH BILLS	4-MONTH BILLS[2]	12-MONTH BILLS ISSUED BY TENDER[3]	YIELD ON 5-20-YEAR GOBERNMENT LOANS[4]
1959 December	4.00	2.17	3.25	2.20	3.25	3.25	4.35	5.21
1960 December	5.00	2.67	3.50	3.45	4.50	4.75	4.96	6.07
1961 December	4.50	2.25	2.75	3.15	4.00	4.25	3.96[5]	5.74
1962 December	3.50	2.73	2.50	2.50	3.00	3.30	3.45	4.96
1963 December	4.25	2.73	3.63	3.00	4.10	4.35	4.75	5.32
1964 January	4.25	3.16	3.63	3.00	4.20	4.55	4.75	5.54
February	4.25	3.24	3.63	3.00	4.25	4.65	5.05	5.51
March	4.25	3.77	3.63	3.30	4.25	4.75	—	5.50
April	4.25	3.16	3.63	3.30	4.30	4.75	5.10	5.57
May	4.25	3.22	3.63	3.30	4.30	4.75	5.10	5.60
June	4.25	3.56	3.63	3.30	4.30	4.80	—	5.62
July	4.75	3.95	4.13	3.50	4.50	5.00	5.20	5.62
August	4.75	2.85	4.13	3.50	4.50	5.00	—	5.65
September	4.75	3.86	4.00	3.50	4.50	5.00	5.40	5.68
October	4.75	3.59	4.00	3.50	4.50	5.00	5.40	5.68
November	4.75	2.83	3.88	3.50	4.75	5.15	5.50	5.61
December	4.75	3.01	4.00	3.50	4.75	5.25	5.65	5.62
1965 January	4.75	2.23	3.88	3.50	4.70	5.20	5.65	5.60
February	4.75	2.24	3.75	3.50	4.65	5.10	5.55	5.53

1. Weighted average of daily average rates in the month.
2. Instalment B Treasury bills and Annuity Fund bills.
3. Up to August 1963, allocation for month following the period; thereafter for current month. Up to end of 1963 average rate weighted by amount of bills allocated. As from January 1964, single rate valid for all bills allocated.
4. Figure as at the beginning of the following month.
5. Allocation for month of February, 1962.

Source: National Bank of Belgium.

Economic Policy Measures

The possibility of economic imbalance caused the authorities in 1964 to maintain and reinforce the stabilization measures taken in 1963. These measures relate mainly to credit policy, and since they were described in last year's survey[1], it is not proposed to go over that ground again, but to deal solely with the main adjustments made in 1964.

With regard to credit, the Finance Minister approved on 2nd July, 1964, a decree by the Banking Commission which, in accordance with the recommendations of the Belgian National Bank, fixed the level of the liquidity reserve ratio to be observed by the banks. The object of this measure is to make it possible to make more use of the reserve ratio as a means of controlling credit if circumstances require it. In addition, a decree of 20th February, 1964, tightened up hire purchase conditions.

Ordinary public expenditure increased less fast than the GNP growth rate, as mentioned above, and the overall total of disbursements remained in the neighbourhood of five per cent. In the field of fiscal policy mention must be made of a measure already used in 1964 but of which the procedure for implementation was tightened up in 1965. This is the adjustment of taxation scales to the cost-of-living index. In 1963 the sliding scale provisions applied only to incomes of unmarried persons below B.Fr. 125,000. In 1964 they were applied to all portions of income below B.Fr. 415,000 for all taxpayers, married or single. The effect of the measure is to deduct from the tax due on these portions the effect of the increase in incomes calculated on the basis of the cost-of-living index. The cost of this measure to the Treasury has been estimated at about B.Fr. 400 million in 1964 and 1,050 million in 1965.

The controls on prices introduced in 1963[2] have been maintained. Producers and traders must notify the Ministry of Economic Affairs at least 21 days in advance of any proposed price increase. This obligation does not apply to all goods and services, but affects a large number of products, mainly in the category of general consumption, including most food products, articles for smokers, soap, paints and varnish, footwear, many textiles products, certain durable consumer goods, building materials, a few services and, in general all products affected by retail price maintenance. The price increases proposed must moreover be justified on the grounds of increased costs. They are usually examined by the Prices Commission, which is an advisory body. The Commission is composed of representatives of industry and trade associations, trade unions,

1. Cf. OECD Economic Survey of the BLEU, June 1964, paragraphs 30 to 35.
2. This measure was based on earlier legislation, in particular the decree of January 1945, introducing the system of maximum prices, and that of February 1951, setting up the Prices Commission.

consumer and civil service associations. If the Minister for Economic Affairs allows the 21 day period to lapse, the petitioners can raise their prices. In most cases, however, the Minister, advised by the Prices Commission, initiates discussions with the firms concerned with the object of achieving a reduction in or adjournment of the proposed increase. In practice the system usually results in putting off the increases. Prior notification of a proposed price increase and the possibility of an enquiry by the Prices Commission constitute effective disincentives to possible increases.

Other Economic Policy Problems

Discussions between the Government and employers' associations and trade unions on the introduction of an incomes policy have continued. It seems that the reservations of wage-earners towards such a policy have lessened somewhat. On the other hand preparatory work on the 2nd Plan (for 1970) is apparently meeting with a more favourable reception from employers' organisations and unions. Discussions on the main choices for 1970 (and in particular on the problem of working hours and on migration) have taken place in the framework of the " vertical commissions " set up by the Services du Plan, and in the Conseil Central de l'Economie and the Conseil National du Travail. It is likely that the change in attitudes is due to the success of the 1st Plan, whose production targets will probably be more than fulfilled between now and the end of 1965[1].

TABLE 13. PUBLIC FINANCES FROM 1961 TO 1964

BUDGET OUT TURNS

Billions of B. Fr.

	1961	1962	1963	1964
Ordinary Budget:				
— Revenue	120.4	131.2	139.5	157.8
— Expenditure	126.0	132.1	143.0	155.3
Balance	— 5.6	— 0.8	— 3.5	+ 2.5
Extraordinary Budget:				
— Revenue	0.4	0.5	0.4	0.3
— Expenditure	14.6	17.8	22.0	24.2
Balance	— 14.2	— 17.3	— 21.6	— 23.9
General balance	— 19.8	— 18.2	— 25.1	— 21.4

Source: The National Bank of Belgium " Bulletin d'information et de documentation ".

1. Cf. Part II of this review, Table 17.

Table 14. CHANGES IN THE PUBLIC DEBT

Situation at and of period

Billions of B. Fr.

	Direct debt								Total direct debt	Indirect debt[1]	Total debt
	Internal					External					
	Consolidated	Medium-term	Short-term	Assets of private individuals	Total	Consolidated	Medium and short-term	Total			
1960	+ 10.8	− 4.9	− 7.2	+ 3.2	+ 11.9	− 0.3	+ 10.5	+ 10.2	+ 22.1	+ 0.4	+ 22.5
1961	+ 5.8	− 0.7	+ 2.2	+ 0.5	− 7.8	+ 1.4	+ 1.3	+ 2.7	+ 10.5	+ 4.4	+ 14.9
1962	+ 34.2	+ 3.5	− 20.8	+ 3.3	+ 20.2	+ 0.7	− 10.7	− 10.0	+ 10.2	+ 2.0	+ 12.2
1963	+ 10.0	− 7.2	+ 5.1	+ 3.7	+ 11.6	− 1.1	+ 10.5	+ 9.4	+ 21.0	+ 1.8	+ 22.8
1964	+ 15.3	− 7.4	− 3.9	+ 6.4	+ 10.4	− 1.2	+ 2.9	+ 1.7	+ 12.1	+ 14.0	+ 16.1

1. Decentralised public institutions (Road Fund, SNCB, etc.).

Source: The National Bank of Belgium "Bulletin d'information et de documentation".

The authorities have continued with the implementation of the recommendations of the De Voghel Commission[1] :

— the Act of 10th June, 1964, on public appeals for savings instituted controls on savings appeals made by intermediary financial institutions which, by using special technical formulae, had been able previously to evade any legal control. The Act conforms with an express recommendation by the Commission;

— on 24th February, 1965, a Bill was placed before Parliament modifying the previous system of control over private savings banks. The main reforms envisaged in the Bill are as follows. Firstly, whereas up to now the control has only applied to deposits, it will henceforward cover all savings collected by private savings banks in any form whatsoever, including cash certificate issues or bonds. Secondly, in order that savings banks may be more closely associated with the general policy of the responsible authorities in economic, financial and monetary matters, the authorities will have powers to lay down the ratios to be observed between certain credit and debit items. They will also have powers to fix minimum and maximum rates of interest on deposits.

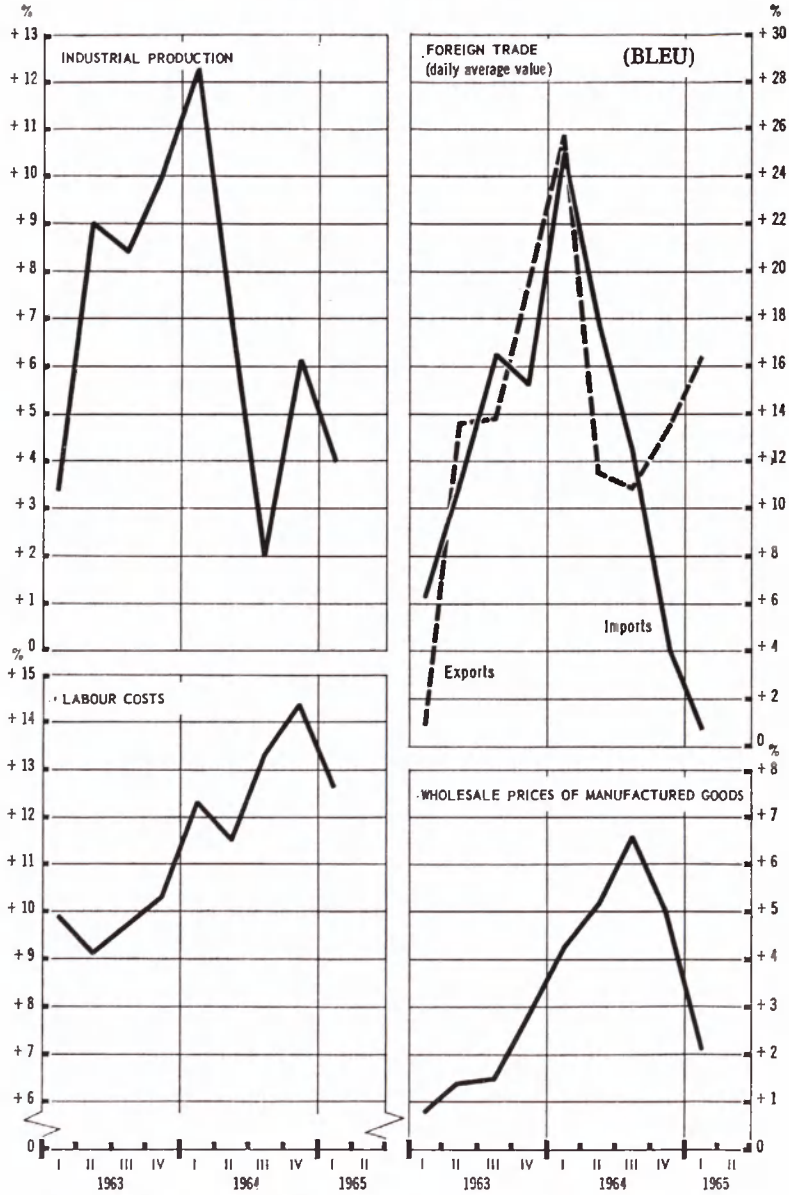
Other proposals now being studied relate to:

— the statutory powers of banks (share and bond holdings; medium and long-term credits; independent powers of banks);

1. The Commission for the study of problems of financing economic expansion, which published in March 1962 a report containing a series of proposals (cf. the OECD Survey of the BLEU, June 1964, paragraphs 58 et seq.).

Diagram 2. TRENDS OF THE BELGIAN ECONOMY

% DIFFERENCES COMPARED WITH THE CORRESPONDING PERIOD OF THE PREVIOUS YEAR



Source : Ministère des Affaires économiques et de l'Energie.

— the statutory powers of insurance companies and coordinating bodies (Conseil Supérieur des Finances);

— the control of financial intermediaries in the private sector.

II. PROSPECTS FOR THE BELGIAN ECONOMY IN 1965

After the vigorous expansion recorded in 1964 it is likely that there will be some slowing down of economic activity in 1965. The Gross National Product should increase 3.5 per cent by volume (as against 5.5 per cent in 1964). This, in the light of the growth already achieved in the opening months of 1965, implies a very definite slowing down during the rest of the year.

The pattern of resource use should be noticeably different from that of 1964. In particular, although the rate of growth of consumption of households should slow down somewhat (4 per cent, as against 4.5 per cent), the increase in investment should be very much smaller (2.5 per cent as against 12 per cent) owing to the constant pressure of costs on profit margins, and uncertain prospects for the level of overall demand (and of domestic demand in particular). The rate of growth of public investment is also expected to be very much smaller (+ 1 per cent as against + 15 per cent). Finally, residential construction may slow down somewhat after its vigorous expansion in 1964.

Foreign trade prospects are somewhat uncertain. There will probably be a reduction in the growth rate of imports (+ 6 per cent by volume as against + 11.5 per cent the previous year) as a result of slackening domestic activity levels. The growth rate of exports remains largely dependent on the general level of economic activity in the EEC countries. The expected slowing down in these countries, and especially in France, could be an obstacle to sales abroad. Export growth may be of the order of 7 per cent[1] by volume (as against 12 per cent the previous year). It should in the main benefit the most competitive industries, whereas sales of textiles in particular may well slump in foreign markets.

The slower rate of expansion will certainly influence the labour market, and some easing of the pressures observed in the previous year can be expected. Nevertheless, this trend will be hindered by factors working in the opposite direction — the higher school-leaving age; large numbers of persons reaching retirement age; lower net immigration numbers; longer paid holidays; the trend towards a shorter working week, and so

1. Recent estimates (June 1965) give a figure of 10 per cent for increases in imports and exports.

on. Overall, pressure on the economy as a whole should diminish, but will probably persist in some sectors and at some levels of skill.

The upward movement of wages will probably not slow down noticeably in 1965. The factors which caused the large increases recorded in 1964 will persist for the most part — collective sliding scale agreements; continuing manpower shortage in some industries and at certain levels of skill; continuing efforts to achieve equal pay for men and women. For the year as a whole hourly wage rate increases should be between 7 and 8 per cent, and the increase in the total wage bill paid out by enterprises should be 8 per cent. The upward movement of prices will probably level off somewhat owing to the slowdown of economic activity. A rise of about 3 per cent in the retail prices index can be expected.

The 1965 Budget should play a more expansionary role than that of 1964. On top of the initially approved appropriations will come the additional expenditure in connection with rising prices (wages, salaries and social benefits geared to the retail price index) and the implementation of the agreement of 14th October, 1964, with civil service unions concerning better pay conditions. On the other hand, the budgetary incidence of supplementary credits will be tempered by the increased revenue from taxation, which will be about 7 per cent up on those of 1964. As in

TABLE 15. PUBLIC FINANCES IN 1965
BUDGET ESTIMATES

	Billions of B. Fr.
Ordinary budget:	
Revenue	164.5
Expenditure	161.9
Balance	+ 2.6
Extraordinary budget:	
Revenue	0.6
Expenditure	20.2
Balance	− 19.6
Overall balance	− 17.0
Breakdown of ordinary revenue:	
Direct taxes	61.1
Customs duties	8.7
Excise duties	21.0
Indirect taxes	54.1
Registration taxes	9.9
Total tax revenue	154.8
Non-tax revenue	9.7
Total ordinary budget receipts	164.5

1964 there should be no difficulty in meeting treasury objections, and the composition of the public debt should show further improvement.

Trends in the early months of 1965 are difficult to interpret. Some indicators show a definite slowdown of growth, while others seem to imply a resumption of expansion. Thus the index of industrial production stood at 170 for the first quarter, and at 169 for April and May, as against 168 for the 4th quarter and 163 for the 3rd quarter of 1964. The slowdown particularly affected industries connected with final consumption. Consumption demand, as indicated by retail trade turnover figures, has stood at the same level since the last quarter of 1964. The latest EEC survey of heads of firms in the Common Market confirms this trend. Order book levels have again been lower than normal since the beginning of the year while stocks of finished products showed a marked decline.

One of the signs of a tendency towards recovery which could gather momentum in the second quarter, is given in the latest survey of employers by the National Bank in March. This indicates that levels of work in hand are being maintained. The marked recovery in imports which took place in February was confirmed in March and April. This is widely considered by Belgian trend analysts as a harbinger of recovery for what is essentially a manufacturing economy. Lastly, wholesale and especially retail price indices resumed their upward trend April, after remaining unchanged throughout the first quarter.

The contradictory trends revealed by available indicators make it impossible to diagnose with any certainty the present condition of the economy. If the signs of a slowing down were to become more marked it would doubtless be necessary to adopt more expansionist policies. The National Bank decided already in January to prolong the duration of bills eligible for rediscount for sectors of the economy which are in difficulties. In the first quarter of 1965 a more flexible policy was adopted with regard to restrictions dating from November 1963 on commitments involving public expenditures. The new flexibility took the form of freeing part of the « tranche conjoncturelle » (countercyclical reserve) of the Road Fund (B. Fr. 400 million) and of a portion of the credits earmarked for the construction of the semi-metro in Brussels (B. Fr. 550 million). But these measures are the exception to the general rule, and the authorities have repeatedly made it clear that they did not feel the time was ripe to abandon the restrictive policies pursued since 1963. In particular, the banks have been requested to continue the policy of credit restriction on firms and private individuals, and the figures for the first quarter show that this recommendation has been effectively implemented. Furthermore, in February 1965 the application of the reserve ratio of 1 per cent was prolonged for a period of two months, and subsequently, on 15th April, until 15th July.

Nevertheless, the Belgian authorities must continue carefully to watch the dangers of a more marked downturn in economic activity. If

Table 16. MAIN ECONOMIC INDICATORS FOR 1963, 1964 AND 1965[1]

Period	Foreign trade: Daily average seasonally adjusted: Imports	Foreign trade: Daily average seasonally adjusted: Exports	Prices and wages: Wholesale prices of industrial products	Prices and wages: Retail prices	Prices and wages: Wage costs in manufacturing industries	Prices and wages: Workers' earnings in manufacturing industries	Finance: Money supply[2]	Finance: Credit: Private sector[2]	Finance: Credit: Public sector[2 3]	Finance: Interest rates: Short-term[2]	Finance: Interest rates: Long-term[4]
	Fr. millions		Indices: 1953 = 100				Fr. millions			Per cent	
1962	749	711	103.8	112.6	160.1	144.4	254,527	80,565	93,487	3.30	5.08
1963	841	796	105.4	115.0	175.8	157.7	278,985	99,551	105,181	4.35	5.26
1964	971	916	110.9	119.8	199.3	174.9	298,656	107,569	111,961	5.25	5.61
1963 1st Quarter	763	710	104.9	114.1	167.9	151.6	262,691	78,143	99,172	3,30	4.64
2nd Quarter	845	809	105.1	114.3	175.9	157.8	272,324	84,022	107,579	3.40	4.94
3rd Quarter	855	834	104.9	115.1	176.8	158.3	267,232	93,583	106,301	3.85	5.02
4th Quarter	900	835	106.9	116.7	182.4	163.0	278,985	99,551	105,181	4,35	5.26
1964 1st Quarter	953	892	109.3	117.9	190.9	166.6	274,322	98,046	109,006	4.75	5.51
2nd Quarter	996	902	110.4	118.9	196.8	172.9	287,081	104,458	112,504	4.80	5.60
3rd Quarter	962	925	111.8	120.9	200.6	176.2	285,143	108,337	110,639	5.00	5.65
4th Quarter	936	947	112.1	121.7	208.7	183.7	298,656	107,569	111,961	5.25	5.61
1965 1st Quarter	960	1,038	111.6	122.7	215.0	186.6	294,100	111,300	119,100	4.95	5.53
1964 August	911	894	111.9	120.84			282,167	107,978	110,599	5.00	5.62
September	953	948	112.1	120.93	200.6	176.9	285,143	108,337	110,639	5.00	5.65
October	950	941	112.4	121.24			286,413	107,313	111,813	5.00	5.68
November	962	962	112.1	121.76			285,200	108,117	114,429	5.15	5.68
December	985	934	111.8	122.16	208.7	183.7	298,663	107,569	111,961	5.25	5.61
1965 January	917	922	111.7	122.51			291,128	108,931	117,373	5.20	5.62
February	1,016	1,118	111.7	122.80			292,312	109,325	116,547	5.10	5.60
March	1,031	1,047	111.5	122.91	215.0	186.6	294,100	111,300	119,100	4.95	5.53
April	1,078		111.4	123.11			299,700	112,600	127,200	4.95	5.51
May			111,2	124.58						4.95	5.59

1. Provisional figures for 1964, estimates for 1965.
2. End of period.
3. Central and other banks.
4. Prior deduction allowed for as from September 1963.

Sources: Ministère des Affaires économiques et de l'Énergie.
Banque Nationale.
Banking Commission.
Institut de Recherches économiques sociales et politiques.

the tendencies towards a slowing down of growth were confirmed, it would undoubtedly be necessary to take more positive steps to re-inflate the Belgian economy, so that its growth rate does not remain permanently below that of neighbouring countries as it did in the 'fifties. European integration would make this a highly dangerous position to be in. And that in spite of the fact that — as a comparison between the forecasts of the first programme for expansion and the results achieved — or likely to be achieved by the end of 1965 shows — the economy has given ample proof in recent years of its ability to forge vigorously ahead.

TABLE 17. 1962-1965 EXPANSION PROGRAMME TARGETS AND END OF PERIOD RESULTS

	1962-1965 PROGRAMME TARGETS	AVERAGE GROWTH RATES ACHIEVED IN 1962-1965 PERIOD
Resources:		
GNP	4.0	+ 4.2
Imports	7.7	7.6
Uses:		
Private consumption	3.4	4.1
Public consumption	2.6	3.6
Investment by enterprises	7.6	3.5
Public investment	10.1	9.8
Exports	7.7	8.2
Financial data:		
Rate of increase of wages and salaries	4.5	7.5
Rate of increase of prices	0.9	3.3

Source : OECD secretariat table based on Belgian National Accounting figures.

CONCLUSIONS

Since 1962 the Belgian economy has achieved rapid growth in contrast with the stagnation of the 'fifties. From 1962 to 1964 the annual average growth rate of the Gross National Product was 4.4 per cent, and even if the advance slows down a little in 1965 it is likely that the target of the first development plan (+ 4 per cent per year for the 1962-1965 period) will be exceeded. The rapid expansion of production was associated, in 1964, with considerable pressures on prices and incomes and a sizeable deficit in the balance of trade. These developments made it necessary to maintain and reinforce the restrictive measures taken already in 1963.

As a result both of the implementation of these measures and of spontaneous developments in general short-term trends, a tendency has emerged in the last few months for production and demand (both in consumption and investment) to grow more slowly, and for pressure on prices to relax somewhat. On the other hand, there is little sign yet of relaxation on the labour market.

If present trends continue, it might well be necessary to consider reinforcing the present policy of selective stimulation. This could take the form of a greater measure of support for certain sectors or regions and a better adjustment of the labour supply to the requirements of production, including stepping up the recruitment of foreign workers.

The structural reforms and long-term reorganisation of the Belgian economy have continued. Particular mention should be made of the improvements in the composition of the public debt, the reorganisation of financial flows, and the continuing experimentation with economic programming. It would be desirable for the Government to obtain an agreement with both sides of industry on the adoption of an incomes policy. Progress on this in the past year seems to have been rather slow. Success here would facilitate the achievement of rapid and balanced growth, and finally exorcise the spectre of the stagnation of the past without endangering the monetary stability which, until recently, Belgium has conserved more successfully than the majority of its European partners.

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